

Methodological Rigor - The Circular Reasoning Trap

🚩 FLAW 3: Measurement Validity Paradox

Paper's Argument Chain:

Step 1: Use Z-scores to measure distress ✓ | Step 2: Find Z-scores are high → No distress ✓ | Step 3: Argue Z-scores are invalid because: • X1 (working capital) overstates liquidity (93.5% is receivables collected in 1,485 days) • X4 (equity/liability) understates leverage (equity is mostly subsidies, not retained earnings) ✓ | Step 4: Conclude hospitals ARE distressed... ...but Z-scores don't show it ?

⚠️ The Problem:

Can't use an invalid measure to test hypotheses (H1-H5), then declare it invalid!

Methodological Grade: WEAK-ADEQUATE (2.5/5)

